

Securities Rules in Bangladesh: Regulatory Framework and Market Impact

Term Paper on:

"Securities Rules in Bangladesh: Regulatory Framework and Market Impact"

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Letter of Transmittal

March 01, 2026

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Honorable Teacher:
Subject: Submission of the term paper on “Securities Rules in Bangladesh: Regulatory Framework and Market Impact”

With due respect we, the undersigned students of BBA 31st Batch(A), 1st year, 2nd semester have reported on “Securities Rules in Bangladesh: Regulatory Framework and Market Impact” that you authorized on March 01, 2026, under the course F-109 (Legal Environment of Business). This term paper examines the regulatory framework governing the securities market in Bangladesh, with particular emphasis on the role and functions of Bangladesh Securities and Exchange Commission(BSEC). It analyzes key securities laws, rules and compliance mechanisms designed to ensure transparency, protection of investors, and market integrity. We sincerely appreciate your encouragement and support in helping us shape and refine this idea.

I hope you find this term paper satisfactory.
Sincerely yours,

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Executive Summary

This term paper's primary goal is to examine Bangladesh Securities laws and while understanding how the capital market is impacted by the regulatory environment. The study, titled "Securities Rules in Bangladesh: Regulatory Framework and Market Impact," attempts to describe the framework of securities regulations, list the major laws and regulatory authorities, and assess the ways in which these rules and regulations affect investor confidence, market stability and overall growth of the economy.

Laws of Bangladesh securities have increasingly changed to encourage accountability, openness, and equity in the country's financial markets. The primary goals of this regulatory systems are to shield investors against fraud, market manipulation, and insider trading etc. Additionally, it aims to preserve a stable climate in which businesses may raise their funds easily and investors can participate with more confidence and trust. Despite of a huge changes and improvements, the market has faced a lot. The market has went through a lot of difficulties including price volatility and poor regulatory compliance. The Bangladesh Securities and Exchange Commission (BSEC) which is the main body in charge of managing the country's securities market, controls and keeps an eye on all market activity.

By increasing transparency, reducing fraud, and fostering investor confidence, market performance can be enhanced. However, the effectiveness of securities rules are constrained by a lack of investor awareness, political influence, and weak enforcement.

The findings of the report show that although Bangladesh has improved a comprehensive legal framework for securities regulations, shortcomings of supervisory and implementation still exist. In conclusion, to create a stable, reliable and long-lasting capital market, effective regulatory framework is required.

Chapter- 1: Introduction

Background of The Study:

The securities market plays a very important role in the economic development of a country. Because it mobilizes savings and allocates capital to productive sectors. For this, a capital market is crucial to a nation's success. A healthy capital market promotes investment, helps companies to expand, and boosts the economy as a whole. The market has also gone through times of crisis, volatility, and instability, which emphasizes how crucial strict regulatory oversight is.

The laws, regulations, and organizations that control the issuing, trading and oversight of financial instruments like bonds, shares, and debentures are together referred to as securities regulation. The regulatory environment in Bangladesh has changed to provide transparency, investment protection and accountability. The Bangladesh Securities and Exchange Commission (BSEC) which is known as the regulatory body, controls and monitors capital market. In addition to BSEC, Dhaka Stock Exchange (DSE) and Chittagong Stock Exchange (CSE) play important roles in the management of trading activities.

The Securities and Exchange Ordinance, The Securities and Exchange Commission Act, and The Securities act are only a few of the significant regulations that have been introduced over time to secure the regulatory framework.

Origin of The Term Paper:

This term paper has been prepared as a requirement of the course Legal Environment of Bangladesh (F-109). The topic "Securities Rules in Bangladesh: Regulatory Framework and Market Impact" was assigned to our group by our course instructor to develop a clear understanding of the securities regulatory system in Bangladesh and its influence on the capital market. The capital market plays an important role in economic development by facilitating investment and capital formation. To ensure transparency, fairness, and investors protection, the market operates under various laws and regulations supervised by the Bangladesh Securities and Exchange Commission (BSEC). Therefore, understanding the regulatory structure and its effectiveness is essential for analyzing the overall performance of the securities market.

Objectives of the Term Paper:

The main objective of this paper is to analyze the securities rules and regulatory framework in Bangladesh and examine their impact on the capital market. To specify, the main objectives of this paper include the following:

- To highlight the major laws that govern the securities market in Bangladesh.
- To describe the concept and significance of the securities market in Bangladesh.
- To discuss the role and responsibilities of the BSEC
- To identify the current problems within the regulatory system and suggest possible improvements.
- To assess the effects of regulatory policies on market stability and investor confidence.

Methodology of The Paper:

The study primarily relies on secondary data. Information has been collected from textbooks, scholarly articles, annual reports, official publications, and reliable online sources related to the securities market of Bangladesh. Key legal instruments including the Securities Act and the Securities and Exchange Commission Act, along with other regulatory rules and guidelines, have been reviewed for analysis. Relevant information from the DSE and the CSE has also been included. The study explains the existing regulatory framework and evaluates its impact on the capital market based on available literature and data.

Scope of the Term Paper:

This term paper focuses on the securities regulatory system of Bangladesh and its effect on the country's capital market. It covers the main laws, regulatory bodies, and stock exchange operating within Bangladesh. The study covers the functioning of the capital market institutions, including the Dhaka Stock Exchange (DSE) and Chittagong Stock Exchange (CSE), and evaluates how regulatory measures influence market stability, investor protection, and overall market performance. As the study is based on the secondary data and does not include detailed company analysis or international comparisons.

Chapter-2: Overview of Securities Market in Bangladesh

The securities market refers to the organized system where financial instruments such as shares, bonds, debentures and mutual funds are issued and traded. It plays a significant role in the country's financial system. It provides the companies and government a platform where long-term funds are raised and invested. The methods used to raise the money include private placements, right issues, and Initial Public Offering (IPO). It contributes to economic growth by channeling savings into productive investments.

Components of the Securities Market:

The securities market in Bangladesh is divided into two sections. The first one is primary market and the other is secondary market. These two segments form the foundation of the capital market. They perform complementary functions in the process of capital mobilization and investment.

Primary Market:

It is the section of the securities market where new securities are issued for the first time. It is the initial platform where the new securities are issued. This market is used for raising long-term funds directly from the investors. The funds are raised through Initial Public Offerings (IPO), right issues and private placements. It promotes economic progress, business growth, financing infrastructure and long-term development initiatives.

Secondary Market:

The secondary market is the segment which facilitates the trading of securities that have been issued in the primary market. It provides the investors a platform for trading securities freely. Liquidity and effective price discovery can be ensured by it. A well-organized secondary market strengthens investor confidence and encourages more market participation. In our country,the operations of both markets are carried out under the regulatory oversight of the Bangladesh Securities and Exchange Commission (BSEC) which ensures orderly market conduct, transparency and fairness.

Key Institutions of the Securities Market:

The securities market in Bangladesh is built in a structured network of institutions. They work together for ensuring market transparency, smooth operations and investor protection.It depends on a well-organized institutional framework in order to protect investor rights and ensure smooth operation. Though all participants work together to create a functional and reliable capital market, each participant plays a distinct role. Bangladesh Securities and Exchange Commission (BSEC) is at the center of this network which serves as the main regulatory body. The key institutions of the securities market are discussed below:

Bangladesh Securities and Exchange Commission (BSEC):

Bangladesh Securities and Exchange Commission (BSEC) was established as the regulator of the country's capital market under the provision of Bangladesh Securities and Exchange Commission Act on 8th June, 1993. The purpose of the commission is to protect the interest of the investors, develop the securities market, form policies, supervise, licensing of the market participants, enforce the securities laws, prevent fraud and maintain transparency. It consists of the Chairman and four Commissioners who are appointed for full time by the Government. The Chairman acts as the Chief Executive of the Commission. The commission is a statutory body and it is attached to the Ministry of Finance. It is an 'A' category member of the International Organization of Securities Commissions (IOSCO)since 22 December 2013.

Figure-2.1: Bangladesh securities and exchange Commission's Logo

Dhaka Stock Exchange (DSE):

Dhaka Stock Exchange (DSE) is a public limited company. It is formed and managed under Company Act 1994, Security and Exchange Commission Act 1993, Security and Exchange Commission Regulation 1994 and Security Exchange (Inside Trading) regulation 1994. It was established in 1954.It is the oldest and largest stock exchange in Bangladesh. It serves as the primary platform for listing, trading and price discovery of securities. It ensures that the companies maintain transparency and accountability.

Figure-2.2: Dhaka stock Exchange's logo

It also implements market surveillance mechanisms to prevent fraudulent activities, insider trading and market manipulation. Its benchmark index is known as the DSE Broad Index. It is a crucial metric for investors and decision-makers, reflecting the market's overall performance. Capital mobilization can be made more effective by it. For the expansion of Bangladesh 's financial system, corporate expansion and investment prospects, Dhaka Stock Exchange (DSE) is crucial.

Chittagong Stock Exchange (CSE):

In 1995, Chittagong Stock Exchange(CSE) was founded. It is the second largest stock market in Bangladesh. It supports regional economic activity, maintains stringent regulatory control to ensure transparent and orderly market operations and also broadens access to capital markets to promote greater investor engagement. It tracks performance of the market by providing CSE All Share Price Index (CASPI) and assists investors in keeping an eye on trends and improving their decision making. It enhances the overall efficiency of the securities market and supports the nation's long term capital generation and economic development by providing an alternate trading value and encouraging liquidity. By offering unbiased evaluation of issuer's creditworthiness, credit rating organizations help investors make wiser choices.

Brokers and Dealers:

Brokers and dealers are known as the intermediaries. They execute trades and provide advisory services. They work as the bridge between investors and exchanges. They engage in the business of trading securities on behalf of the customers. They are regulated to ensure ethical conduct and safeguard investor interests.

Central Depository Bangladesh Limited (CDBL):

Central Depository Bangladesh Limited was established on 20 August 2000. It is a regulatory agency. It records and facilitates the trade of securities in Bangladesh. It is the National Numbering Agency for International Securities Identification Number in Bangladesh and member of the Association of National Numbering Agencies. Tapan Chowdhury is chairman of the board of directors. It is Bangladesh's only securities depository enterprise. It handles electronic clearing, settlement and safekeeping of securities.

Listed Companies:

Listed companies raise capital through the market. For raising capital, they must follow corporate governance. Their transparency and performance are crucial for building investor confidence..

Investors:

An investor is a person or entity that allocates financial capital with the expectation of profit. There are two types of investors, retail investors and institutional investors. Retail investors increase participation and market depth. On the other hand, institutional investors provide stability.

Supporting Institutions:

Supporting institutions include credit rating agencies, financial advisors and legal and regulatory mechanisms etc. They also play a significant role in the smooth functioning of the securities market. Credit rating agencies provide independent assessments of issuers' creditworthiness which enables investors to make better decisions. Financial advisors assist investors in portfolio management, risk assessment and strategic investment planning. Legal frameworks and dispute resolution mechanisms ensure that contracts are enforceable and investor rights are protected.

These mentioned organizations and market players work together to form a coherent system. Bangladesh’s securities market’s institutional architecture creates capital, boosts investor trust, preserves market stability and promotes long-term growth. It also paves the way for greater integration with global financial markets, positioning Bangladesh as a progressively fortified, stable and resilient capital market that promotes discipline and efficiency by offering a structured and regulated environment.

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Chapter-3: Regulatory Authorities Governing Securities Market in Bangladesh

Bangladesh capital market deals in different types of long term financial instruments including equity shares, mutual funds, corporate bonds, debenture, government securities like Treasury Bonds. To maintain market stability and to protect the interest of the dealers, brokers, investors and other concerned parties the market is regulated and supervised by some regulatory bodies such as BSEC, DSE and CSE. Each institution works with distinct purpose and plays role to ensure transparency, fairness and proper trading practices.

1. Bangladesh Securities and Exchange Commission

Established in 1993, Bangladesh Securities and Exchange Commission (BSEC) is the apex regulator to Bangladesh stock market that issues rules, regulations, authorities, directives and notifications. Key role include:

- Protecting investor interests, regulating stock exchanges (DSE/CSE) and marketing intermediaries.
- Preventing fraud and misconduct (eg: insider trading, fostering market growth through policy formulation)
- Registration and licensing.
- Issuing corporate governance code

2. Dhaka Stock Exchange & Chittagong Stock Exchange

DSE and CSE are two self-regulated securities trading platforms in Bangladesh that operate under the provision of Bangladesh Securities and Exchange Commission.

3. Financial Reporting Council (FRC)

Responsible for improving the quality of corporate financial reporting, FRC also aims to restore investor confidence and mitigate stock market manipulation.

4. Bangladesh Bank (BB)

While BSEC is the primary regulator for stock exchanges, BB's roles are distinct and essential for overall financial stability by controlling liquidity, managing money markets and supervising banking sector's involvement in securities.

5. Central Depository Bangladesh Limited (CDBL)

Established in 2000, CDBL works as an infrastructure background of Bangladesh capital market. Its primary role is the transition the stock market from physical share certificates to a digital, scripltess, and efficient trading system, acting as a "bank" for securities.

Chapter-04: Major Securities Laws and Regulations

- **Securities and Exchange rules (1987):**

The Securities and Exchange Rules, 1987 are one of the key legal instruments regulating the operational activities of the securitis market in bangladesh. These rules provide procedural guidlines for stock exchanges, brokers, listed companies, and other participants to ensure transparency, accountability, and investor protection.

Membership and Eligibility:

The rules specify eligibility criteria and disqualifications for stock exchange membership, including insolvency, misconduct, or lack of required experience. Members must maintain a minimum net capital balance, and failure to do so may result in suspension. These provisions ensure financial soundness and professionalism in the market.

Trading and Transaction Procedures:

The rules establish formal procedures for executing and recording buy and sell orders. Transactions must be properly documented and confirmed in writing. Members are restricted from engaging in personal trading when client orders are pending, which helps prevent conflicts of interest and promotes fair trading practices.

Listing and Disclosure Requirements:

Issuers must submit necessary documents for listing, including financial statements and corporate information. Listed companies are required to publish audited annual reports and periodic financial statements to ensure continuous disclosure and informed investment decisions.

Risk Management and Investor Protection:

The rules introduce capital adequacy standards and require segregation of client funds and securities from members' own assets. These measures reduce financial risk and protect investors' interests.

Financial Reporting and Audit Requirement:

Members are required to maintain proper books of accounts and undergo annual audits by qualified professionals. Audit reports must be submitted within the prescribed time. The authority may also order special audits when necessary. These requirements strengthen financial discipline and transparency.

Enforcement and Penalties:

Non-compliance with the rules may result in suspension, cancellation of membership, or other disciplinary actions. These enforcement provisions maintain market integrity and ensure adherence to regulatory standards.

- **Securities and Exchange Commission Act (1993):**

The Securities and Exchange Commission Act, 1993 established the Bangladesh Securities and Exchange Commission (BSEC) as the apex regulatory authority of the securities market in

Bangladesh. This Act provides the institutional and enforcement framework for securities regulation.

Establishment and Functions of the Commision:

The Act defines the Commission's responsibilities, including regulating stock exchanges, brokers, merchant bankers, and other intermediaries. It also aims to prevent fraudulent and unfair trade practices such as insider trading and market manipulation.

Registration and Supervision of Intermediaries:

Market intermediaries must obtain registration from the Commission. The commission has the authority to suspend or cancel registration in case of violations, ensuring that only qualified and compliant entities operate in the market.

Investigation and Enforcement Powers:

The act grants the Commission strong investigative powers, including conducting inquiries, summoning individuals, and examining documents. Violations may result in imprisonment, or other penalties, strengthening regulatory enforcement.

Financial and Administrative Powers:

The Act provides for a dedicated Commission fund and ensures accountability through audits. The Government may issue policy directions in the public interest, while the Commission performs regulatory functions independently.

Appeals and Legal Protection:

The Act allows aggrieved parties to appeal against Commission decisions and provides legal protections to officials acting in good faith, ensuring fair administration of securities laws.

- **Public Issue Rule:**

Because of the mismatch among the Bangladesh Securities and Exchange Commission (Public Issue) Rule 2015, Corporate Governance Rule 2018 and Merchant Banker and Portfolio Regulation 1996 there were crucial imbalance between the demand side and supply side of the market.

Only 350 companies are listed at BSEC where more than 3 lakhs companies are listed at RJSC.

In the Public Issue rules of 2015, there were

· Shallow requirements for the pricing of Initial Public Offerings (book building / fixed price).

· Shallow requirements regarding the allocation of share to public, company and other parties.

· Shallow requirements regarding the eligible investors (Bank, insurance, financial institutions, merchant bankers, portfolio managers)

· Backhanded pricing method.

However, the rule is amended in 2025 where

· The mismatch among the regulations is clarified

· A forecasted pricing method with the calculation of DDM, FCM, Relative valuation has been introduced.

· Requirements regarding pricing, allocation of share and eligible investors are clarified to boost investors' confidence, enlistment of companies and to obstruct market manipulation.

- **Empowerment of BSEC for Rule Imposition:**

Under the Securities and Exchange Ordinance 1969 and Securities and Exchange Commission Act 1996 BSEC is being empowered to impose rule. It indicates that BSEC can impose regulations to provide the rules time relevance, for the betterment of investors, dealers, brokers and to ensure the stability of the overall market.

- **Regulations for Enlistment:**

Any public limited company to be listed under BSEC must follow the provisions required by BSEC. The rules require:

· Submission of prospectus, certificate of association, memorandum, certificate of incorporation following the standard of BSEC

· Appointing registered issue managers and underwriters

· Providing audited financial statements not older than 120 days. Mandatory requirements include a minimum paid-up capital, a 3-year track record, and adoption of corporate governance guidelines.

· Any private limited company to be listed must convert to a public limited company first

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Real Life Case: B Brothers Garments wanted to raise Tk 50 crore from the capital market through IPO in 2020 and in 2024. But BSEC rejected their application as the company failed to submit the approved layout of the building to be constructed from IPO funds (overstating profit and losses, exaggerating land development costs, failure to submit necessary other documents) .

- **Corporate Governance:**

The corporate disclosures regulated by BSEC are to ensure fairness, transparency and timely access of information by investors. Such disclosure can be of 3 types: Periodic, Event-based, Rumor clarification.

· Reporting Price Sensitive Information (PSI) to the BSEC and stock exchanges within two hours of board decisions or knowledge.

· Publishing information in two national daily newspapers (Bangla/English) and archived on the company website for at least three (3) years.

· Maintaining a digital database for all PSI.

Real life case: Within just one year of frenzied speculation in 2023, the share prices of SEA pearl Beach Resort and Spa Limited soared from Tk 60 to Tk 320 that a foreign investor would buy a significant stake I he company. In late October 2023, the stock market regulator announced in a Price Sensitive Disclosure (PSI). But after the PSI was revealed, the company's share price fell drastically.

- **Margin Law:**

The legal framework for regulating margin trading in the stock market. Its purpose is to control risk, protect investors, and maintain market stability.

In Bangladesh, detailed rules on this issue were formulated through Margin Rules, 1999. These rules made written agreements mandatory for operating margin accounts and provided for maintaining equity at least 150%. If equity fell to 125%, the broker could sell shares. In addition, limits on single client and single security exposure were set and penalties were also provided for breaking the law. As a result, Margin Rules, 1999 served as a complete margin regulatory framework.

- **Demutualization:**

Demutualization is a legal process to transform a stock exchange from a non-profit cooperative-based organization into a profitable and transparent public limited company. The main objective of this scheme, enacted under the Exchange Demutualization Act, 2013, is to completely separate the rights to trade shares (TREC) from the ownership of the exchange to reduce conflicts of interest while improving governance. A provision has been made to have 7 independent directors to ensure majority in the board of directors, which enhances transparency and good governance. In addition, 60% of the shares of the exchange have been reserved for strategic investors and the general public. The main objective of this scheme is to modernize the capital market, achieve international standards and protect the interests of investors.

A Great Crash in Securities Market

The 2010–11 stock market collapse in Bangladesh was driven by large-scale manipulation by influential individuals, regulatory failures, weak enforcement that caused severe economic damage and long-term loss of investor trust. The market was in a bullish trend in 2009 while the Instability began in 2010 which followed by repeated crashes in 2011.The crisis severely damaged investor confidence and market integrity.

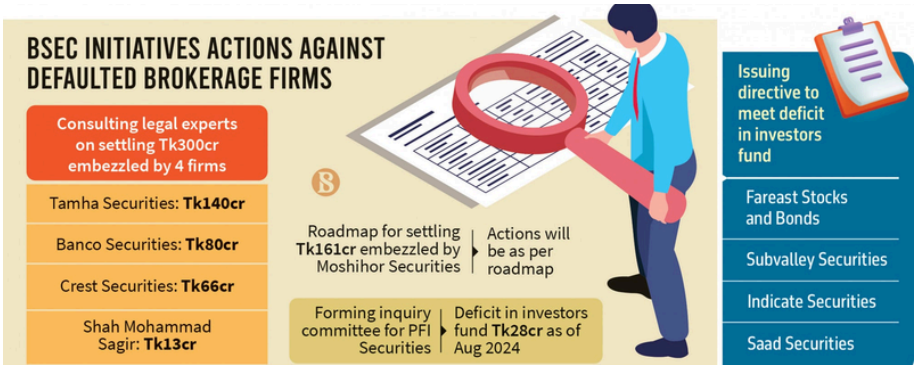
Key reasons identified	Effects of the market crash
· 60 mastermind influential individuals, creating artificial bubble. · Violation of Public Enforcement Actions (PEA) and government failure. · Excessive uncontrolled use of margin loans · Existence of ominous accounts, weak IPOs and forced selling by banks.	· Small investors were at the verge of starving into death · Political instability rose with mass protests · Many investors committed suicide. · In 2023, 50% businessmen blamed 2010-11 collapse as the reason for their distrust in stock market.

Immediate measures were taken by BSEC together with BB to pacify the market. Market Stabilization Fund (MSF) was created to buy shares and stop the freefall.

Real Life Case: Beximco linked firms and individuals (Moshfequr Rahman, Mumtazur Rahman) used "omnibus accounts" to manipulate the market contributing significant losses for retail investors and led to public protests. Beximco owner Salman F. Rahman were also involved in the 1996 stock market crash indicating a pattern of negligence in regulating influential payers.

Chapter-05: Market Impact of Securities Regulations

The securities regulatory framework governed by the Bangladesh Securities and Exchange Commission (BSEC), protects investors, ensures transparency, corporate accountability, as well as market efficiency. The impact of Dhaka and Chittagong Stock Exchanges on investor protection, corporate governance, market efficiency, foreign investment, and current challenges is described below:



1. Investor Protection and Confidence: The main purpose of BSEC is to protect investors from fraud, insider trading and price manipulation. The Securities and Exchange Commission (Public Offer of Equity Securities) Rules, 2025 ensures investors receive timely and reliable information Before making investment decisions. Recent restrictions on the "lock-in" period (usually three years) ensure that persons with inside information cannot exit the market immediately after an IPO. The Investors' Protection Fund was created under **Investors' Protection Fund Regulations, 1999.**

2. Corporate Governance: Companies must maintain independent directors, audit committees, transparent financial reporting, and ethical business practices in accordance with **The Corporate Governance Guidelines of BSEC (2006, revised 2012)**. To ensure transparency and accountability in their operations, listed companies must follow the rules of corporate governance. But, unfortunately, governance in many companies has been reduced to formality and there exists untimely disclosures, poor audit committees. So, they must obtain a compliance certificate from an independent professional such as a Chartered Accountant or Cost and Management Accountant and disclose the certificate in their annual report.

3. Market Efficiency and Transparency: BSEC asked stock exchanges to develop a unified web platform to update **Consolidated Customers' Accounts (CCA)** status daily after the trading close. It has also pushed for full automation of trade and settlement through the Central Depository Bangladesh Limited (CDBL). Moreover, the Financial Reporting Council (FRC) has improved auditing standards, reducing the use of false financial statements. It is to mention that penalties against non conformance are not so common and this discourages investor confidence, particularly institutional and foreign investors.

4. Foreign Investment and Market Internationalization:

BSEC has observed the 'World Investor Week-2020' declared by International Organization of Securities Commissions (IOSCO). Bangladesh has pursued IOSCO "A" Category standards.

BSEC also organized the first road-show titled “Rising of Bengal Tiger: Potentials of Bangladesh Capital Markets” in Dubai, in 2021. Foreign portfolio investment has increased gradually through improved standards, and compliance with international accounting and reporting practices.

5. Challenges and Limitations:

Dominance of retail investors, limited enforcement capacity, political and institutional interference, low financial literacy, market manipulation incidents, limited investor awareness, as well as technological gaps affect the effectiveness of securities regulations in Bangladesh. Moreover, bureaucratic delays and strict regulations often increase the cost of compliance for companies and entering the stock market.

In some cases, BSEC personnel were also taking advantage of loopholes in the law, continuing to erode BSEC's credibility.

Real-life Case:

In July 2025, BSEC banned Salman F Rahman (former chairman of IFIC Bank), his son, and a former BSEC chairman for perplexing investors about a bond issue. The bond was marketed fraudulently under IFIC Bank's name but was actually from a real estate business. BSEC issued fines of Tk 100 crore and Tk 50 crore . ACC filed a corruption investigation against IFIC Bank, accusing them of accounting for approximately Tk 10 billion.

This was a topic of discussion in our industry visit to the BSEC Office in Agargaon, Dhaka. The “Aamar Bond” scam case is still under court prosecution, any further details were not disclosed due to the high sensitivity and confidentiality of the case.

Source: The Daily Star

Market Capitalization Trend of Bangladesh Stock Market:

Regulatory improvements have increased investor confidence, and trading activities, which result in a rising trend of market capitalization. The Market Capital of Dhaka Stock Exchange Ltd. in the last 17 years and the market capitalization to GDP Ratio are shown below:



Figure-5.1: Market Capitalization-GDP Ratio and DSEX Index



Figure-5.2: Market Capitalization to GDP Ratio

The graph of the market capitalization to GDP ratio has shown an upward trend from June 2005 to June 2010. The highest market capitalization to GDP ratio was 43.9% in June 2010. The ratio has shown a downward trend after June 2010. The ratio stands at 18.4% in June 2021.

Chapter-06: Critical Evaluation of The Securities Regulatory Framework and Challenges

The securities regulatory framework in Bangladesh has introduced modern laws and advanced trading systems, which help strengthen transparency, governance, market discipline as well as investor protection. Still, the framework suffers from several structural and operational challenges.

1. Implementation Challenges: Although the legal framework is well-developed, limited manpower, lack of advanced technology, and slow administrative procedures limit its real impact.

2. Regulatory Independence: Lack of autonomy of the BSEC from political and bureaucratic influence is a major problem. To create an effective framework, the regulator must act independently.

3. Quality of Initial Public Offerings (IPOs): Many weak companies, before entering secondary market, show high profits, but their performance declines soon after listing. This indicates that the approval process of IPOs by BSEC and the stock exchanges needs to be more careful and strict.

4. Liquidity vs. Stability: Generally, the regulator focuses more on market stability than liquidity. Different measures like floor prices and circuit breakers protect investors from sudden losses. But, at the same time, they reduce trading activity and stop the spontaneous movement of prices in the market.

5. Institutional Strengthening: Current "Retail-heavy" capital market needs stronger institutional investors such as mutual funds and pension funds.

6. Small-Cap and SME Boards: The introduction of SME platforms is a positive step. But, small companies still face difficulties in regulatory requirements which hinder the growth of SME segment in the capital market.

Challenges in The Securities Market:

The securities market in Bangladesh has made significant progress over the years. But it still faces some challenges that affect its stability and efficiency. Challenges include low liquidity, high market volatitlity, speculative trading, limited investment options, weak corporate governance,low financial literacy, legal and institutional gap, limited institutional investors participation etc.

To overcome these challenges, several steps are essential :

· Strengthening corporate governance and ensuring stricter compliance with disclosure rules.

· Improving the legal and regulatory framework to prevent manipulation and enhance enforcement.

· Encouraging diversification of financial instruments to provide more investment options.

· Attracting greater participation from institutional investors to stabilize the market.

· Expanding investor education programs to build financial literacy and promote informed decision-making.

· Modernizing trading, settlement and monitoring systems to improve efficiency and transparency.

Addressing these issues is crucial for building a resilient and transparent securities market. A well-regulated market protects investors and contributes to the sustainable growth of the economy.

Chapter-07: Company Overview and Practical Insights

Insights from meeting with BICM and BSEC:

In-person meeting at Bangladesh Securities and Exchange Commission (BSEC) and online (Zoom) discussion with Bangladesh Institute of Capital Market (BICM) representative, provided us insights about the current reforms, key regulatory rules, reasons of market collapse, investors' expectations, and employee perspectives.

Core Reasons of Market Collapse:

Lack of knowledge and awareness: For sustainable returns, market analysis, investment knowledge, and financial awareness are crucial. But many investors lack knowledge, they trade based on rumors want quick return and fall victim to market manipulators.

Violation of regulations: Though regulations exist, they are not always implemented. If the rules were strictly followed, the market condition would likely be stable.

Lack of coordination: Rules are imposed by IDRA, BSEC and MFI. But their coordinate the way they need to about the impact of rules in security market.

· Sukuk, a key Shariah-compliant financing tool, was issued in 2020 but BSEC had no authority to regulate it.

· NBR (National Board of Revenue) imposed tax on capital gain in 2021 despite multiple requests not to impose so. Resultantly, large investors got discouraged.

· In 2019-20 BSEC allowed mutual funds to extend tenure for an additional 10 years which failed mutual fund market. But regulations of 2025 prohibit further extensions.

· Weak companies were enlisted for mandatory IPO requirements (1 IPO per 2 years) from Merchant bankers.

· In 2000, market makers were introduced but the first market maker came to the market in 2021 due to lack of encouragement and follow up.

Market manipulation: Wealthy investors with unethical intentions artificially inflate or deflate share price, traps for uninformed investors undermining investor confidence.

Lack of competent manpower and proper monetization: Only 260 personnel overseeing 370 companies, BSEC faces shortage of competent human resources. Additionally, the continued reliance on a paper-based system hampers transparency of monetization.

Steps taken for Market Betterment:

Inclusion of Commodity Securities: The Chittagong Stock Exchange (CSE) is set to launch Bangladesh's first commodity exchange Commodity Exchange Rules, 2023 with operations expected to go live in 2025–2026.

Enlistment of State-owned Enterprises: Steps were also taken by the interim government to enlist state-run firms though the process is slowed down for bureaucracy.

Development of Investors Education and Training Program: With creative and interactive programs BSEC launched investor education and training program under the Development of Investors Education and Training Rules, 2016. The commission also plans to introduce investment education secondary to higher secondary level.

Opinion of BSEC employee: While the capital market of Bangladesh has gone through various hazards, the discusser was hopeful that the current market is more investment friendly than before because of:

· Tougher regulations and investigation

· Regulatory cleanup to strengthen market discipline.

However, the discusser also opines that the market is also struggling regarding:

· Constraint of technological development

· Ongoing political uncertainty and implication of non-supportive policies

Chapter-08: Conclusion and Recommendations

With a help of a more effective regulatory structure headed by the Bangladesh Securities and Exchange Commission, Dhaka Stock Exchange (DSE), and Chittagong Stock Exchange (CSE), the securities market is essential for the economic growth of a country. Despite the fact that reforms have enhanced trading, governance, and openness, instability is still threatened by political interference, market manipulation and so on. To ensure a stable and improved capital market, the followings are proposed:

- Boost the Bangladesh Securities and Exchange Commission's monitoring abilities and professional workforce to regulate insider trading, market manipulation, and propaganda.
- Ensure that regulatory authorities operate without political meddling and uphold accountability and transparency.
- For avoiding listing down weak companies, IPO screening should be strengthened and financial records, projects, assets should be examined thoroughly.
- Use of digital KYC (Know Your Customer), automated trading, blockchain and fast settlement technologies can lead to increase efficiency and transparency as well as security.
- Speculation can be reduced by encouraging financial literacy and expanding the participation of foreign investors, insurance firms, pension funds and mutual funds.
- Strengthen cooperation between the Financial Reporting Council, Bangladesh Bank (BB) and the BSEC to ensure uniform policy execution.
- To expand and diversify the market, the number of bond markets, derivatives, commodities exchanges and Islamic financial products should be increased.
- Regulations should be simplified, cost should be reduced and necessary supports should be provided to the SMEs so that they can raise capital more easily.

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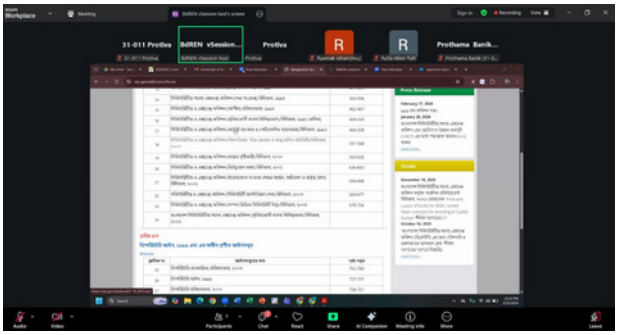
Exchanges Demutualization Act, 2013 https://www.dsebd.org/assets/pdf/DemuAct2013.pdf

Appendix





Card with the contact information of the interviewd officials





Zoom meeting with Imran Mahmud, Lecturer at BICM



Representatives of the team visited Bangladesh securities and Exchange Commission in Agargaon, Dhaka for a detailed discussion with one of the Assistant Directors of BSEC and a brief interview with the senior librarian.



Visit at Bangladesh Securities and Exchange Commission (BSEC)

Date:25.02.2026

Statement of Contribution

Name	ID No	Contribution
Rafia Akter Rafi	31-073	Introduction, Merging, Editing, Executive Summary, Appendix, Table of Contents, Letter of Transmittal
Protiva saha	31-011	Market Impact , Critical Evaluation, References
Ramisa Adnin Soha	31-051	Overview of Securities Market, Cover Page
Prothama Banik	31-049	Conclusion, Recommendations, Major Laws
Rawnak Jahan	31-003	Regulatory Authorities Governing Securities Market, Company overview, Major Laws